Monthly Business Review

February-26 Performance

alegra

CEO Highlights / Lowlights

Lowlights

- **Churn remained elevated in February at 5.22% despite stable gross cancellations**, driven by a decline in reactivation rates and consistent with early-year seasonality — deep-dive analysis is in progress to identify key drivers and deploy targeted retention and recovery levers.
- **Funnel conversion did not improve despite stronger top-of-funnel activity.** February closed with fewer logos than January, despite sign-ups up 22%, MQLs up 25%, and SQLs at a year-high — pointing to a conversion gap in the bottom of the funnel.
- **Sales attainment is unevenly distributed across both ICP segments.** In Accountants, 57.89% of AEs exceeded 80% attainment; in SMB, only 13% reached that threshold and over 45% fell below 40%. Corrective action is underway through targeted training on negotiation and closing techniques, with top performers leading role-playing sessions.

Financial Updates

- Alegra delivered a strong February, with operating income reaching $2.3M up 30% YoY and 5% above budget, partly driven by a $149K FX tailwind from a stronger Fx rate. Gross margin held steady at 82% for the sixth consecutive month, reflecting consistent COR discipline. EBITDA came in at $156K, a decisive beat against a budgeted loss of $23K, bringing the YTD figure to $465K versus a planned deficit of $94K. Total OpEx landed 4% below budget, with Sales & Marketing spending 8% under plan despite a 16% MoM uptick driven by paid media and events. The cash position closed at $3.7M $1.6M above budget supported by higher subscription inflows, deferred tax outflows, and a $166K loan proceeding, putting the company in a net cash-generative position for the month. Alanube continued to accelerate, posting $73K in revenue up 61% YoY as Conexred crossed the 15 million documents milestone. The primary area to watch heading into March is the sustained under execution of the paid media budget (-53% YTD), which could weigh on customer acquisition in Q2 if not addressed alongside the unhedged FX exposure.

Highlights

- **AI Implementation:** Over the past 30 days we've made a transformative push at Alegra, and now every team is going crazy with AI — the impact on productivity is immediate, and we're already seeing a difference in how many people it takes to run the business.
- **Alanube crossed the $70K MRR milestone for the first time**, closing February at $74,374 EoP MRR (+44.5% MoM), implying an ARR of $892,488. Growth was accelerated by the *Full-Cycle Partner Success program*, which fast-tracked go-lives and expanded current accounts.
- **Lead quality is improving significantly**, with PQLs up 65% and over 4,000 PQLs generated in February. 19% of all registrations reached an "aha" moment — up 5pp vs. January.
- **Organic channels now drive 65% of New Logos**, reflecting a more efficient acquisition mix and reduced reliance on paid spend.
- **Both ICP segments reached peak MRR performance in February.** Accountants held above $25K — the second-best month in Alegra's history — while SMB hit a period high of $27K, led by Core at $17K, confirming solid execution and increasing focus on higher-value accounts.
- **ElevenLabs was integrated into recovery flows for disqualified sales opportunities**, achieving up to a 5% conversion to logo on the impacted base. This validates AI voice as an effective channel to reactivate lost pipeline and drive incremental revenue.
- **Product execution is accelerating** — SAT fully stable in Mexico, accountant workspace redesigned with better compliance visibility and a deeper version coming in the next months, DIOT automation in development, and invoicing-only plan launching to unlock the accountant-SMB relationship.

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Key Summary Metrics

February/26

$27.6 Mn
ARR
(vs. $ 27.5 Mn MoM, 0%)
(vs. $26.2 Mn Bud, +5.3%)
(vs. $20.9 YoY, + 28%)

$2.26 Mn
Net Revenue
(vs. $ 2.3 Mn MoM, -1%)
(vs. $2.1 Mn Bud, +5%)
(vs. $1.7 YoY, + 30%)

$66.4 K
New MRR
(vs. $71.3K Bud, -6.8%)
(vs. $67.2 k MoM, -1%)

2.1K
New Logos
(vs. 2.5 K, -16% Budget)
(vs. 2.3 K MoM, -11%)

82%
Gross Margin
(vs. 82% M-1)
(vs. 81% Budget)
(vs. 81% YoY)

7%
EBITDA Margin
(vs. 14% M-1)
(vs. -1% Budget)
(vs. -17% YoY)

Core: 3.8%
Global:5.2%
Monthly Logo Churn
(vs. 4.78 % Budget, +0.4 pp)

Core 11.7 Months
Lite 8.7 Months
Payback
(16.4 Avg 2025)

2026 YTD

$4.5 Mn
Net Revenue
(vs. $4.3 Mn Bud, +6 %)
(vs. $3.3 Mn YoY **+36%**)

$133.7 K
New MRR
(vs. $126k Mn Bud, +5%)
(vs. $89.9k YoY **+49%**)

4.4 K
New Logos
(vs. 4.5 K Budget, -2%)
(vs. 4.5 K YoY -4%)

82%
Gross Margin
(vs. 81% Budget)
(vs. 80% YoY)

10%
EBITDA Margin
(vs. -2% Budget)
(vs. -21% YoY)

56.7 K
SMB Logos EoP
(4% YoY)
(-182 Net New Additions Feb)
(-127, Net New Additions YoY)

13.6 K
Accountant Logos EoP
(4.7 % QoQ)
(0.1 K, Net New Additions Feb)
(0.6 K, Net New Additions QoQ)

Cash Balance: $3.7 Mn vs $3.2 Mn Previous Month = +$455K
Cash Burn YTD: -$0.4 Mn vs Budget -$2 Mn **+$1.5 Mn**

*ARR Includes Alanube

ARR Global - Alegra

	1Q25	2Q25	3Q25	4Q25	1Q26	QoQ Δ%	Jan-26	Feb-26	MoM Δ%	YTD 2025	YTD 2026	YTD Δ%
Logo Walk												
BoP (000's)	54,6	54,5	54,2	55,1	56,8	3%	56,8	56,8	0%	54,6	56,8	4%
New Adds	6,5	5,5	5,8	6,0	4,4	-27%	2,3	2,1	-11%	4,6	4,4	-4%
Recovered	1,9	2,2	2,1	2,7	1,3	-51%	0,6	0,7	21%	1,3	1,3	4%
Net Churn	(8,5)	(8,0)	(7,0)	(7,1)	(5,9)	-17%	(2,9)	(3,0)	4%	(6,1)	(5,9)	-4%
Disconnects	(11,8)	(11,1)	(9,9)	(10,4)	(8,5)	-18%	(4,2)	(4,3)	1%	(8,1)	(8,5)	5%
Reactivated	3,3	3,1	2,9	3,3	2,6	-19%	1,4	1,3	-5%	2,0	2,6	32%
EoP	54,5	54,2	55,1	56,8	56,7	0%	56,8	56,7	0%	54,3	56,7	4%
YoY (%)	15%	9%	5%	4%	4%	-2%	3%	4%	27%	17%	4%	-74%
Logo Monthly Avg. New Add + Recovered %	5,1%	4,7%	4,9%	5,3%	3,4%	-37%	5,2%	4,9%	-4%	5,4%	5,0%	-6%
Logo Monthly Avg. Disconnects %	7,2%	6,8%	6,1%	6,3%	5,0%	-20%	7,4%	7,5%	1%	7,4%	7,5%	1%
Logo Monthly Avg. Net Churn %	5,2%	4,9%	4,3%	4,3%	3,4%	-20%	5,1%	5,2%	4%	5,6%	5,2%	-8%
ARR Walk												
BoP ($Mn)	$19,2	$22,4	$22,9	$24,2	$26,6	10%	$26,6	$26,9	1%	$19,2	$26,6	39%
Additions	1,7	1,8	1,9	2,0	1,6	-19%	0,8	0,8	-1%	1,1	1,6	49%
Recovered	0,4	0,5	0,5	0,7	0,3	-54%	0,2	0,2	7%	0,3	0,3	14%
Net Churn	(2,6)	(2,6)	(2,5)	(2,4)	(2,4)	-2%	(1,1)	(1,3)	12%	(1,8)	(2,4)	31%
Disconnects	(3,5)	(3,6)	(3,3)	(3,4)	(3,2)	-7%	(1,6)	(1,7)	7%	(2,3)	(3,2)	37%
Reactivated	0,9	1,0	0,8	1,0	0,8	-18%	0,4	0,4	-6%	0,5	0,8	56%
Net Expansion	2,7	0,7	0,7	1,5	(0,0)	-102%	(0,0)	0,0	134%	1,3	(0,0)	-102%
Upsell	4,2	2,0	2,0	2,7	1,4	-48%	0,7	0,6	-14%	2,3	1,4	-40%
Downsell	(1,4)	(1,3)	(1,3)	(1,2)	(1,4)	23%	(0,8)	(0,6)	-20%	(1,0)	(1,4)	41%
(+/-) FX Impact	0,8	0,2	0,7	0,6	0,7	24%	0,5	0,2	-58%	0,9	0,7	-18%
ARR EoP	$22,4	$22,9	$24,2	$26,6	$26,8	1%	$26,9	$26,8	0%	$20,9	$26,8	28%
YoY (%)	39%	41%	31%	39%	20%	-48%	39%	28%	-28%	36%	28%	-23%
QoQ (%)	16%	3%	6%	10%	1%	-91%	9%	5%	-46%			
Net New ARR	$3,2	$0,6	$1,3	$2,3	$0,2	-90%	$0,3	(0,1)	-121%	$1,7	$0,2	-86%
ARR EoP Constant Currency ($Mn)	$24,5	$24,9	$25,5	$27,3	$27,1	-1%	$27,1	$26,8	-1%	$22,9	$26,8	17%
YoY (%)	48%	41%	26%	24%	11%	-55%	25%	17%	-30%	43%	17%	-60%
QoQ (%)	11%	2%	2%	7%	(1%)	-111%	5%	2%	-60%			
SaaS Metrics												
$ Monthly Avg. Gross Churn / (Expansion) %	20,7%	17,6%	16,8%	14,8%	14,3%	-3%	7,2%	7,0%	-2%	14,7%	14,3%	-3%
$ Monthly Avg. Net Churn / (Expansion) %	(1,0%)	8,6%	7,8%	3,9%	9,1%	136%	4,4%	4,6%	5%	2,6%	9,1%	250%
$ Annualized Avg. Gross Retention %	39,5%	46,2%	48,0%	52,6%	53,9%	2%	40,8%	41,7%	2%	38,4%	39,6%	3%
$ Annualized Avg. Net Retention %	104,0%	69,7%	72,1%	85,5%	68,4%	-20%	58,3%	56,6%	-3%	85,4%	56,5%	-34%
Avg. Ticket ($ / Month)												
Total Customer Base	$34,2	$35,3	$36,7	$39,0	$39,5	1%	$39,4	$39,5	0%	$32,1	$39,5	23%
YoY (%)												
New Adds	$21,8	$27,3	$26,8	$27,4	$30,3	11%	$28,9	$32,0	11%	$19,7	$30,3	54%
Disconnects	$24,5	$26,8	$28,0	$27,7	$31,5	14%	$30,5	$32,3	6%	$24,1	$31,5	30%
(/) S&M Expenses ($Mn)	$2,6	$2,3	$2,3	$2,3	$1,6	-33%	$0,8	$0,8	0%	$1,8	$1,6	-12%
(=) S&M Efficiency (Delta ARR CC / S&M)	1,0x	0,2x	0,3x	0,8x	-0,1x	-117%	34,8x	-0,4x	-101%	4,3x	3,1x	-27%

Key Summary Metrics - Core / Lite

	Core				Lite			
Metric	Last Month Feb 2026	Vs Previous Month Jan 2026	Vs Previous Year Feb 2026	Last 12 Months	Last Month Feb 2026	Vs Previous Month Jan 2026	Vs Previous Year Feb 2026	Last 12 Months
Investment	436,992	18.3%	-14.8%		274,690	14.7%	-24.3%	
Net New ARR	34,977	-81.7%	-95.5%		-100,579	-190.5%	-112.2%	
Total Logos Growth	127	0.6%	18.8%		-308	-0.9%	-3.4%	
New Logos	825	-16.7%	17.4%		1,252	-6.6%	-4.4%	
New ARR	401,050	-0.4%	27.3%		396,914	-1.8%	43.1%	
ARPA	59	-0.3%	16.2%		27	0.0%	20.2%	
CAC	530	-16.6%	-27.4%		219	-15.3%	-20.7%	
Churn	3.8%	0.3%	5.6%		6.2%	5.4%	-16.4%	
Payback	11.7 Months	14.6%	-54.9%		8.7 Months	14.3%	-59.1%	